BUSINESS TRACK · DETAILED SUBMISSION · ROUND 2



Building Meesho's Consumer-to-Manufacturer (C2M) Base

FACTORY DIRECT

Screen manufacturers on price, not size, and let them make only what is already sold. 1,400 factories by Year 4 put ₹1,995 cr of NMV 8%-12% below market, for a five-year NPV of ₹75 cr on ₹22.2 cr of capped Year-1 cash.

Team 23B0747

Add photo

Prathmesh Walimbe

Add photo

Krishna Kanta Mondal

Indian Institute of Technology Bombay

Live prototype: meesho-dice-c2m-iitb.vercel.app

Buyers follow price and 35% of MSMEs want online sales, but returns, stock risk and know-how keep factories offline

PRIMARY RESEARCH

Objective: a factory base that sells cheaper, and stays

Bring cost-advantaged factories onto Meesho through Factory Direct, and keep them.

As-is: Factory › Wholesaler +15% › Reseller › Buyer

- Mark-ups stack before the buyer
- Reseller's lowest viable price ₹220: 5.4% above market
- Stock and returns sit with resellers

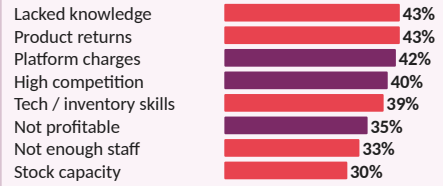
To-be: Factory › Pre-order › Factory Node › Buyer

- No intermediary mark-up
- Factory's lowest viable price ₹180: 13.8% below
- Made only to confirmed orders

≈ ₹1,049 cr a year of wholesaler mark-up sits inside Meesho's nine C2M categories
= ₹41,560 cr FY26 NMV × 40% in C2M categories × 6.3% mark-up share of price

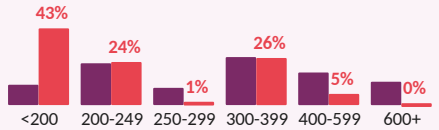
Three data sets: why factories quit, what buyers pay, what buyers would trade

2,365 — ICRIER MSME survey
Why firms that tried e-commerce quit (% of quitters)



Coral = operational: a node and batches remove them. 1 in 5 that joined quit; 35% still want to join.

279 — Team teardown, meesho.com
Live listings, 5 product types, 2 Oct 2026



Under ₹200: 11% of listings, 43% of reviews. Buyers pay 3-37% below listing medians.

n — Team buyer survey
Meesho buyers, last 3 months (kit: research/13)

[FILL: Q6-Q8 price ladder: % choosing 7-8 day delivery at ₹10 / ₹20 / ₹40 off · Q9 % paying in advance · Q10 trust in "Sold directly by the manufacturer" · base n on each chart]

[FILL: takeaway: the majority answer and its implication]

Challenges to solve

Price discovery
- ✓ Scale ≠ price
- ✓ List prices overstate demand

Unit operations
- ✓ Pick, pack, ship per order
- ✓ Returns handled by the factory

Inventory & cash
- ✓ Build-to-stock risk
- ✓ 45-60 day distributor terms

Demand & visibility
- ✓ No reviews at the start
- ✓ District demand unknown

Retention
- ✓ Gap decays after the badge
- ✓ Quality slips with price

5 barriers → 6 levers, each owned by a Meesho team

Manufacturer interviews: what blocks them, by cohort (Round 1, 8 per cohort)

24 owner interviews, cohorts A, B, C

Barrier (severity)	Fulfilment	Inventory risk	Returns, RTO	Unproven demand	Cash cycle	Channel conflict
Cohort A	HIGH	HIGH	HIGH	HIGH	MED	HIGH
Cohort B	LOW	MED	MED	MED	LOW	HIGH
Cohort C	MED	HIGH	HIGH	HIGH	MED	LOW
Meesho can fix	YES	YES	YES	YES	PARTLY	PARTLY

Stakeholders' voice: published owner and leader interviews (verbatim, ≤ 25 words)

Stakeholder	Opinion (verbatim)	Problem	Problem area	Suggestion for Meesho
VM Navamani, MD, Cossmo Tex (Tiruppur)	*"Currently, domestic business is about 20%, and we are planning to increase it to 35-40% … because export markets are mostly volatile."*	Export orders swing with tariffs	Demand	**Pitch C2M as a permanent domestic hedge, not a rescue**
Ashwin Kumar, Managing Partner, NASA Impex (Tiruppur)	*"Orders of around 100 pieces tend to double costs … so 500 pieces is our preferred minimum."*	Small runs cost twice as much per piece	Operations	**Demand Brief pools district demand into batches of 500+**
Vinod Dhamija, Chairman, HCCI Panipat chapter	*"Panipat's exports had shrunk by 50 per cent, while the domestic market had also been disturbed very badly."*	Idle looms, weak domestic orders	Demand, cash	**Panipat is pilot cluster 2; 30% paid at handover**
Vidit Aatrey, CEO, Meesho (Q4 FY26 call)	*"If their quality is not that great, they do not get visibility for orders."*	New sellers start with no orders	Visibility	**Impression grants for new factories, not order subsidies**

Decision: build Factory Direct around the operational barriers (returns, stock risk, unit shipping, cash), not discounts. Owner: Category + Product.

Sources: S2 Q4 FY26 call · S3 FY26 results · S4 ICRIER 2025 · S9 The Tribune · S10 team teardown, 2 Oct 2026 · S21 Apparel Resources · S22 Round 1 interviews | Assumptions: A6, A22-A24 | Survey kit and method: Appendix B

11,645 manufacturers can carry a real price gap; offline B2B factories (8,400) in hosiery and home textiles go first

SEGMENTATION

Segment evaluation: 12 category segments × 4 cost metrics (weighted)

Segment (category)	Cluster	Floor 40%	Idle 20%	Returns 25%	Freight 15%	Score
Saree & dress material	Erode, Bhiwandi	✓	✓	✓	✓	5.0
Home textiles	Panipat, Solapur	✓	✓	✓	-	4.7
Moulded plastics	Rajkot, Daman	✓	✓	✓	-	4.7
Hosiery & innerwear	Tiruppur, Ludhiana	✓	-	✓	✓	4.6
Imitation jewellery	Rajkot, Coimbatore	✓	✓	-	✓	4.5
Basic footwear	Agra, Bahadurgarh	✓	✓	-	✓	4.5
Steel kitchenware	Jagadhri, Wazirpur	✓	-	✓	-	4.3
Brass décor	Moradabad	✓	✗	✓	-	3.9
Bags	Nangloi, Kolkata	-	✓	-	✓	3.7
Fitted western wear	Gandhi Nagar, Bengaluru	-	✓	✗	✓	3.2
Electronics accessories	Import-assembly	✗	✓	-	✓	2.9
Ethnic wear	Surat	✗	✓	✗	✓	2.4

Rows 10-12 fail two tests: not now. Floor ✓ = factory cost ≥ 12% under the demand-weighted median; Returns ✓ = low return band; Freight ✓ = light for its value.

Market sizing: TAM → SAM → SOM (firms)

4.72 cr	5.28 lakh	1.85 lakh	55,451	19,408	11,645	1,400
	1.1%	35%	30%	35%	60%	12%
Udyam-registered MSMEs	Above micro (small + medium)	In manufacturing	Make Meesho's categories	Own 3+ of 4 cost levers	Inside the 12 screened clusters	Active C2M sellers by Year 4

TAM 55,451 make Meesho's categories · **SAM** 11,645 own ≥ 3 of 4 cost levers in the 12 clusters · **SOM** 1,400 active by Year 4 (12%) = ₹1,995 cr run-rate NMV

Target manufacturer personas (cohort score out of 5)

Export-hit knitwear owner — 4.35
Cohort A · Tiruppur
₹10-50 cr turnover · Cohort A = 72% of SAM ≈ 8,400 firms

Barrier: No unit-level ops; making to stock is a balance-sheet change
Motivation: Idle lines after the US tariff; wants a domestic hedge
Needs: Confirmed orders · no packing team · cash before 45-60 days
Reach: Association camps, 40-60 units each

Domestic home-textile maker — 4.35
Cohort A · Panipat
Small and medium units, bulky low-return SKUs

Barrier: Bulky SKUs; no way to handle online returns
Motivation: Exports −50%, domestic −35% this year: idle looms
Needs: Steady domestic orders · bulk freight · price check first
Reach: HCCI Panipat chapter; Udyam lists

Churned Meesho manufacturer — 3.55
Cohort C · Ludhiana, Surat
Cohort C = 9% of SAM ≈ 1,050 firms

Barrier: Weak first 30 orders, then a returns or RTO shock
Motivation: Catalogue and KYC already done: sunk effort to reuse
Needs: Returns capped at the node · early orders · penalty-free re-entry
Reach: Dormant-seller list; one WhatsApp re-invite

Online-elsewhere D2C maker — 3.05
Cohort B · metros
Cohort B = 19% of SAM ≈ 2,200 firms

Barrier: ₹800+ basket catalogue loses money at a ₹265 order value
Motivation: 274 mn buyers and Tier-2+ reach it lacks elsewhere
Needs: Value-tier SKUs, not discounts · no brand dilution
Reach: Seller agencies; price-check link

Least likely to adopt

Surat ethnic-wear traders
- ✗ Job out weaving and stitching: no cost ownership
- ✗ Worst return band; cluster AHP last (3.28)

Import-assemblers
- ✗ Electronics accessories: cost set by imports
- ✗ Any price gap must be funded: a subsidy

Fitted western-wear makers
- ✗ Size returns swallow the cost edge
- ✗ ₹150 fee on every return

Premium D2C lines (Cohort B)
- ✗ Brand dilution at a ₹265 order value
- ✗ The one barrier Meesho cannot fix

Recommendation to Meesho

- ✓ **Focus** on Cohort A in hosiery (Tiruppur) and home textiles (Panipat): top cost edge, low returns.
- ✓ **Re-invite** Cohort C in parallel: KYC and catalogues already on file.
- ✓ **Offer** Cohort B a separate value-tier range, never a discount on brand lines.
- ✓ **Screen** every seller on price, not turnover: 7 of the 10 largest prototype sellers fail.

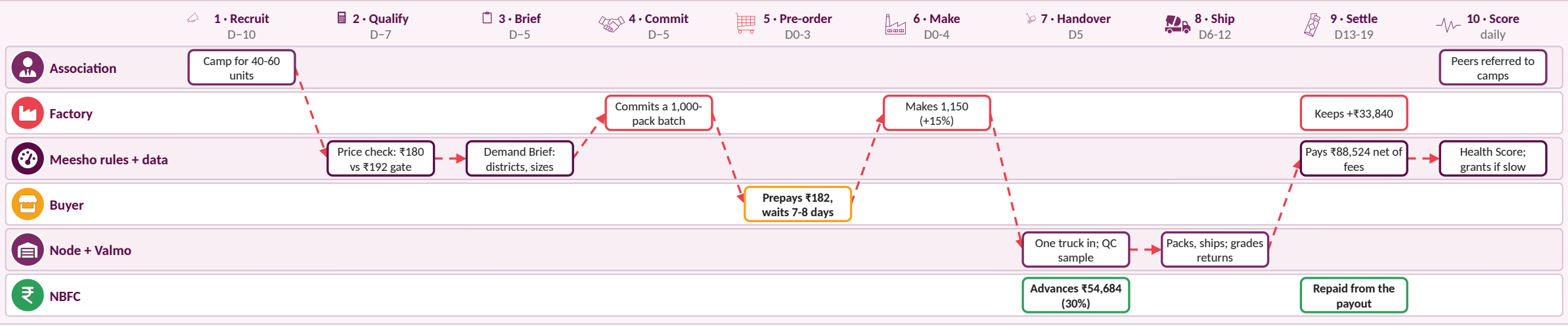
Decision: target Cohort A in hosiery and home textiles first, re-invite Cohort C in parallel, offer Cohort B value-tier only. Owner: Category · KPI: 60 factories catalogued by Day 60.

Sources: S5 MSME limits · S7 Udyam · S9 · S11 return fee · S20 category mix · S22 Round 1 (12-category screen, 24 interviews, cohort split) | Rubrics: Appendix C | ✓ = 5, - = 3, ✗ = 1 | Personas are composites, not real firms

Six users, one flow: buyers prepay, factories make, nodes ship, an NBFC funds and Meesho runs the rules

USERS & FLOW

End-to-end flow for one 1,000-pack prepaid batch: who does what, and when (D = day of the pre-order window)



Six user personas (resellers are affected, not users: the badge is capped at 20% of category impressions)

Value-seeking buyer
Tier-2+ shopper · ~10 orders a year

Wants: lowest price, reliable delivery, easy returns

Pain: 63% still pay cash on delivery; unsure about prepaying for a 7-8 day wait

Does: prepays ₹182 for a 3-pack instead of ₹209

Gets: ₹26.7 off a pack; a "Sold directly by the manufacturer" badge

Uses: Meesho app; UPI pre-order at checkout

KPI: Prepaid share ≥ 68.5%

Factory owner
4 factory personas: cohorts A, A, C, B

Wants: orders before cutting fabric; no packing team

Pain: build-to-stock risk; 45-60 day distributor terms

Does: price check, commits batches, drops stock in bulk

Gets: ₹18.3 a pack vs ₹7.9 ex-factory; cash in ~11 days

Uses: Supplier app, WhatsApp, voice agent

KPI: First batch ≤ 14 days

Category manager
Meesho · ~910 C2M sellers each

Wants: category NMV protected; few manual cases

Pain: cannot chase hundreds of sellers by phone

Does: acts only when a score stays below 40 after an automatic fix

Gets: control tower: price screen, Health Score queue, Day-30 readout

Uses: Control-tower dashboard (prototype)

KPI: ≤ 5 escalations per 100 a month

Node operator
Partner 3PL in the cluster; Valmo delivers onward

Wants: steady daily volume; clean order data

Pain: idle space between seasons

Does: takes bulk drops; picks, packs, ships; grades returns

Gets: ₹20 a unit (pack ₹6, handle ₹9, freight ₹5); ₹1.3 cr set-up support

Uses: Order feed from Meesho; Valmo pickups

KPI: 95% shipped within 48 h

NBFC partner
Lender to marketplace sellers

Wants: short, low-risk loans

Pain: cannot see small factories' order flow

Does: advances 30% of confirmed pre-order value at handover

Gets: repaid from the payout ~7 days after delivery; buyers already prepaid; Meesho covers the first 1% of losses

Uses: Confirmed-order data shared by Meesho

KPI: Advance within 24 h; losses ≤ 1%

Cluster association
Tiruppur and Panipat industry bodies

Wants: orders for members hit by export swings

Pain: Panipat exports −50%, domestic −35%

Does: hosts camps of 40-60 units; vouches for members

Gets: domestic demand for members; MSME-TEAM co-funding, ₹277 cr scheme

Uses: Camps, member WhatsApp groups

KPI: ≥ 50% of camp units listed

Decision: sign the three partner roles before the first batch (two associations, one Tiruppur node, one NBFC); first prepaid batches in Week 10. Owner: Category + Valmo + Finance · KPI: all signed by Day 60.

Sources: S1 (10.3 orders per buyer a year; 37% of shipped orders prepaid), S9, S12 (₹24 SMB fulfilment), S18 MSME-TEAM, S26 seller loans; prototype (~910 sellers per manager) | Flow numbers: one 1,000-pack batch | Personas are composites, not real people or firms

Big idea: Factory Direct lets a factory sell to 274 mn buyers without an e-commerce team, reached through cluster camps

AWARENESS & STRATEGY

Behaviour change, one factory owner (illustrative): from export shock to repeat batches

Day −30 — Murugan's US order is cut under the 50% tariff; a third of his knitting lines sit idle.

1 → **Day −10** — At a Tiruppur association meet, Meesho's cluster team runs a Factory Direct camp for 50 units.

2 → **Day −7** — He sends his making cost on WhatsApp: lowest viable price ₹180 vs the ₹192 gate. He qualifies.

3 → **Day −5** — A Demand Brief shows which districts buy men's briefs; he commits a 1,000-pack prepaid batch.

4 → **Day 5** — One truck to the Tiruppur node: ₹54,684 lands at handover; the node ships every order.

5 → **Day 13-19** — Paid ₹33,840 more for kept orders, net of fees; he refers two neighbouring units.

6

Trigger: export shock | **Lever: cluster camp** | **Lever: price check** | **Lever: Demand Brief + pre-order** | **Lever: node + 30% advance** | **Outcome: repeat + referral**

Rationale: why factories switch

- ✓ No pick-pack-ship team needed
- ✓ Make only confirmed orders (+15%)
- ✓ 30% cash at handover, rest in ~11 days
- ✓ ₹18.3 a pack vs ₹7.9 ex-factory
- ✓ Domestic hedge against export swings
- ✓ 0% commission; ₹0 RTO fee

Channels to reach factories: ATL · TTL · BTL (segment each one targets)

ATL reach

- **Regional business news + YouTube explainers** in Tamil and Hindi (A)
- **Supplier-app banner** to 1.04 mn existing sellers (C)

TTL reach

- **WhatsApp + Gen-AI voice agents** in local languages, already live at Meesho (A, C)
- **Price-check link** shared by seller agencies (B)

BTL reach

- **Association camps** Tiruppur and Panipat bodies, 40-60 units each (A)
- **MSME-TEAM / ONDC workshops** ₹277 cr scheme to co-fund camps
- **Dormant-seller re-invite** one WhatsApp, KYC on file (C)

Cluster camps: why · what · how

Why? Factories sit together: ~3,200 knitwear units in Tiruppur; ~₹60,000 cr turnover in Panipat.

What? Live price check, Demand Brief demo, node visit, GST and KYC desk.

How? The association hosts; 40-60 units a camp; a factory can list the same day.

Measure: units attended → price checks → listed → first batch, per camp.

The offer: product · promotion · place · price

Product

Factory Direct stack: price check, Demand Brief, pre-order window, Factory Node, 30% advance, returns firewall. One supplier app, six levers.

Promotion

Camp + WhatsApp campaign "Your factory, India's buyers"; buyers see "Sold directly by the manufacturer" and the price gap.

Place

Tiruppur and Panipat first, 12 clusters by Year 4, one partner node each; supplier app, WhatsApp and voice agent.

Price

0% commission · node fee ₹20/unit · ₹0 RTO fee · ₹10 pre-order discount, funded by the ₹11 batch saving

Bottlenecks and solutions

Distrust after returns shocks → returns end at the node; a pool caps losses.

Export orders return (tariff now 18%) → batches fill idle lines between export runs.

Fear of a price squeeze → the gate rewards a gap that exists; Meesho never asks for cuts.

Decision: launch Factory Direct camps with the Tiruppur and Panipat associations. Owner: Category + Growth · KPI: 40-60 units a camp, ≥ 50% of qualified factories listed within 30 days.

Sources: S1 (274 mn buyers; 1.04 mn sellers; Gen-AI voice agents), S8 Tiruppur, S9 Panipat, S18 MSME-TEAM, S21 | Story is an illustrative composite (Murugan is not a real person); its numbers come from the model (Appendix B) | Assumptions: A10, A20, A22, A32

Of three ways to bring factories online, only Factory Direct removes unit operations, stock risk and returns within FDI rules

MODEL COMPARISON

1 · Open marketplace (factory self-ships)

The factory lists, then packs, ships and takes back every return itself.

Factory → Packs each order → Courier → Buyer

- **Factory does:** list, pack, ship, take back returns
- **Platform does:** storefront, payments, courier
- **Result:** lowest viable price ₹194, 7.2% below: fails the 8% gate

Who runs it: Meesho today · Amazon · Flipkart

VS

2 · Fully managed (platform buys and holds stock)

The factory sells stock to the platform, which prices, stores and ships it.

Factory → Platform buys → Platform warehouse → Buyer

- **Factory does:** make to the platform's purchase order
- **Platform does:** buy, price, store, ship, handle returns
- **Result:** not allowed: an FDI marketplace may not own seller stock

Who runs it: Temu (fully managed) · Shein

VS

3 · Factory Direct (seller-owned stock at a node)

The factory makes confirmed pre-orders and drops them in bulk; a partner node ships and takes returns.

Factory → Pre-order batch → Factory Node → Buyer

- **Factory does:** make confirmed batches, keep title
- **Node and Meesho do:** pick, pack, ship, returns; demand data, gate
- **Result:** lowest viable price ₹180, 13.8% below: clears the gate

Who runs it: Temu semi-managed · Pinduoduo · Taobao C2M

Comparison of C2M operating models (✓ removes the barrier · - partly · × no)

Strategy considered	Advantages	Disadvantages	Unit ops	Stock risk	Returns	FDI-legal	Low capex
1 · Open marketplace	No capex; the factory keeps control	Needs a packing and returns team; builds stock blind; ₹72 logistics per pack	×	×	×	✓	✓
2 · Fully managed	The factory only makes; the platform runs everything	Platform owns inventory: barred for FDI marketplaces (Press Note 2); price-squeeze risk	✓	✓	✓	×	×
3 · Factory Direct	Node runs unit ops; batches only for confirmed orders; seller keeps title	Needs node partners (₹1.3 cr each) and a 7-8 day pre-order wait	✓	✓	✓	✓	-

What a tick means: *the model takes that barrier off the factory entirely (unit ops, stock risk, returns), is allowed for an FDI-funded marketplace, or needs under ₹2 cr of Meesho capex per cluster.*

Temu: moved US sellers to semi-managed: 20% of US GMV by Q3 2024 — TEMU

Shein Brazil: 336 of 2,000 factories signed; 1 still producing after price-cut asks — SHEIN

Meesho Valmo: started as a capped H2 bet; now 50-55% of deliveries — meesho

Costs considered per model (₹ per 3-pack kept)

Cost line	Self-ship	Factory Direct
Logistics (forward + pack / node)	72.4	68.4
Unsold stock	5.6	0.9
Working capital	2.2	0.4
Returns (₹150 each)	13.0	13.0
Lowest viable price	₹194	₹180

Fully managed: not costed; an FDI marketplace may not own seller stock.

Meesho's cost: ₹1.3 cr set-up per partner node; 12 nodes by Year 4.

Node fee: ₹20 a unit (pack ₹6, handle ₹9, bulk freight ₹5) vs ₹24 for SMB fulfilment.

Decision: build Factory Direct (seller-owned stock at partner nodes plus prepaid batches); Meesho never takes title to stock. Owner: Valmo + Legal · KPI: zero inventory-control findings.

Sources: S1, S2 (Valmo 50-55% of deliveries), S16 Temu semi-managed, S17 Shein Brazil, S12 SMB fulfilment fee, S19 Press Note 2 (marketplace may not own or control seller inventory), S23-S25 | Costs per pack from the unit-economics table; workings in Appendix C

Pinduoduo, Taobao, Temu and Shein built C2M on demand data and small batches; RICE puts the ₹0 price gate first

BEST PRACTICES

Best practices: five platforms × five dimensions

Parameter	Pinduoduo NBI · China	Taobao C2M · China	Temu semi-managed	Shein on-demand	Shein Brazil (avoid)
Strategy used	Anonymised demand data to factories	Factory-direct value app (Taobao Deals)	Merchant stock in local warehouses; platform storefront	Test every product in a small first batch	Local factories asked for ~30% price cuts
Scale (dated)	**900+ factories, 2,200+ custom SKUs, 115 mn+ orders, end-2019**	**Target 10 bn new orders in 3 yrs, 2020; 280 mn buyers, 2021**	**20% of US GMV, Q3 2024; +80,000 merchants planned**	**100-200 item first runs (2024)**	**336 of 2,000 signed; 1 producing, Feb 2026**
Data and tech	Search and order data, anonymised	Consumer insight for product R&D	Platform pricing and traffic	Real-time sell-through decides restocks	Demands without demand data
Risk-sharing	Factory keeps its brand; co-developed SKUs	Alibaba finance arms lend to factories	Merchant holds stock and returns risk	Shein absorbs the test-batch risk	Factory bears all cost of the cuts
Meesho copies	Demand Brief	NBFC batch prepayment	Seller-owned node stock	Confirmed-order batches	Never ask for price cuts

Pattern: **every winner gave factories demand data or finance before asking for anything; the one failure asked for price cuts and gave nothing.**

Benefits analysis of Factory Direct (master model)

−13.8%	**2.3×**	**~11 days**	**−4.7 pts**	**₹5.8**	**2%**
buyer price vs the ₹209 market (briefs)	factory margin a pack: ₹18.3 vs ₹7.9 ex-factory	cash cycle vs 45-60 days on distributor terms	failed deliveries per C2M order (prepaid pre-orders)	Meesho value per C2M order	unsold stock vs 10% building to stock

Inspiration: what we copy, in order

Measure the gap → **Share** demand → **Batch** on orders → **Stock** near buyers

Pinduoduo/Taobao → Pinduoduo → Shein → Temu

Potential pitfalls and our guardrail

- **Price squeeze (Shein Brazil):** the gate measures a gap that exists; no price asks
- **Platform-owned stock (Temu full-managed):** seller keeps title; the node is an arm's-length 3PL
- **Order subsidies:** impressions, never rupees per order
- **Capex before demand:** no node before the Day-30 gate

R.I.C.E. prioritisation: score = reach × impact × confidence ÷ effort

Lever	Reach	Impact	Conf.	Effort	Score	Yr-1
1 · Price gate + C2M badge	900	★★☆	90%	2 p-m	810	₹0
2 · Health Score + rulebook	900	★★☆	85%	3 p-m	510	₹0
3 · Cluster co-op onboarding	810	★★☆	85%	3 p-m	459	₹5.0 cr
4 · District Demand Brief	900	★★☆	75%	4 p-m	338	₹6.0 cr
5 · Prepaid pre-order batches	765	★★★	70%	5 p-m	321	₹0
6 · Factory Node (partner 3PL)	900	★★★	80%	8 p-m	270	₹7.8 cr
7 · Batch prepayment (NBFC)	675	★★☆	70%	4 p-m	236	₹0.2 cr
8 · Returns firewall pool	630	★★★	65%	6 p-m	205	₹3.0 cr

Sequence: diagnostic and free first, capital last. RICE order already respects dependencies: batches need the brief, prepayment needs batches, the firewall needs the node.

Decision: build in RICE order (price gate → Health Score → co-ops → Demand Brief → batches → node → prepayment → firewall); never ask a factory for a price cut. Owner: Strategy.

Sources: S15 KrASIA, S16 Tech Buzz China, S17 Reuters, S23 Xinhua, S24 Alibaba results, S25 AFP · benefits from the master model | RICE: reach = sellers touched in Year 2; effort = person-months; full benchmark table: Appendix C

Seven stages, each with a trigger, a non-cash nudge and a KPI, turn first batches into repeat factories without subsidy

JOURNEY & SCALE-UP

Manufacturer journey: actions, touchpoints, emotions, pain points, interventions, KPIs

Stage	When	Manufacturer action	Touchpoint	Feels	Pain point	Meesho intervention (automatic)	KPI target
Discover	D−30	Hears of it at an association camp	Camp, WhatsApp	Sceptical	*"Platforms mean returns"*	Live price check at the camp	**Camp → price check ≥ 60%**
Qualify	D−7	Enters making cost	Supplier app	Hopeful	*Unsure of the real market price*	Gap vs the demand-weighted median	**Qualified → listed ≥ 50% in 30 days**
First batch	D0-5	Commits a prepaid batch	Demand Brief, node	Anxious	*Fear of unsold stock*	Make orders + 15%; 30% advance	**First batch ≤ 14 days**
Activate	D0-14	Watches first orders	Score card	Worried	*No reviews, slow orders*	Starter impressions; +25K grant if < 60%	**≥ 60% of cohort orders at D7, D14**
Diagnose	Daily	Reads the weekly score	Health Score	Informed	*Unclear what to fix*	One rule-based fix at a time	**Days to recover**
Graduate	D30+	Scales batches	Prepayment	Confident	*Working capital*	Prepayment at score ≥ 80 for 30 days	**≥ 40% graduated by D60**
Retain	D60+	Repeats; refers peers	Weekly brief, Mall	Loyal	*Export orders return*	Weekly brief; Meesho Mall path	**Active at D90 ≥ 75%**

Incentives (non-cash) and nudges, stage by stage

Stage	Incentive	Nudge
Discover	Free price check	Peer stories at the camp
Qualify	C2M badge + re-rank	Your gap vs the market
First batch	30% cash at handover	Batch size from the brief
Activate	+25K impressions × 7 days (max 2)	WhatsApp: grant applied
Diagnose	Fix suggestions	One fix, not ten
Graduate	Prepaid batches unlocked	Graduation progress bar
Retain	Meesho Mall path	Top-factory list at camps

Seller Health Score: 0-100, daily

30%	Price gap held
25%	Order pace vs cohort
20%	Quality returns
15%	On-time dispatch
10%	In-stock

≥ 80 for 30 days → graduate · < 40 after a fix → a person

Rulebook: 9 automatic actions, 1 human

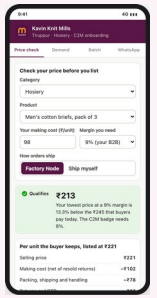
Signal	Action
Orders < 60% at D7/D14	Grant
Gap < 8% for 7 days	Price nudge
Gap < 4% for 3 days	Badge off
Returns > 1.5× norm	QC hold
On-time < 90% (7 days)	Node offer
In-stock < 70%	Restock nudge
Score ≥ 80 × 30 days	Prepayment
Score < 40 after a fix	A person

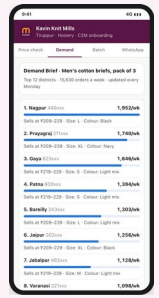
Grants scale; people don't

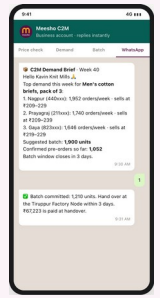
90:3 automated vs human actions in the 60-seller simulated pilot

~910 sellers per category manager; 1,400 sellers need ~2 reviewers, not ~70 account managers. Grant cost: ₹3,750 per seller at most, **20× cheaper than ₹10 an order for 30 days.**

Channels: WhatsApp, voice agent, supplier app (prototype)


Price check


Demand Brief


WhatsApp nudge

Decision: switch on grants, the Health Score and the rulebook with the first 60 sellers; cap grants at 20% of category impressions. Owner: Growth + Data Science · KPI: active at D90 ≥ 75%.

Sources: S1 (seller tools: demand intelligence, faster visibility for new sellers, Gen-AI voice agents), S2 | Assumptions: A19 (₹75 per 1,000 impressions); a category manager reviews 40 escalations a month | Prototype: synthetic 60-seller pilot, fixed seed

Tiruppur and Panipat top the cluster AHP (CR 0.016); factories qualify only with 60% of SKUs 8% below market

CLUSTER CRITERIA

Selection criteria and reasoning

Criterion	Reasoning	Data source
Cost ownership	Own raw material, production, scale, automation → a real price edge	Round 1 cost-lever index
Demand on Meesho	The category already sells at volume on Meesho	Teardown; category mix
Returns band	Low returns protect the cost edge	Return math; seller guides
Node feasibility	A partner warehouse and a Valmo lane nearby	Valmo network
Institutional partner	An association that recruits 40-60 units a drive	Tiruppur, Panipat bodies

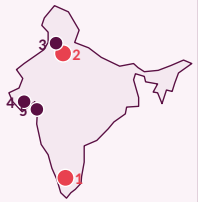
AHP pairwise matrix (CR 0.016 < 0.10: consistent)

Criteria		C1	C2	C3	C4	C5	Geo. mean	Weight	Rank
Cost ownership	C1	1	1	2	3	4	1.89	0.338	1
Demand on Meesho	C2	1	1	1	2	3	1.43	0.256	2
Returns band	C3	1/2	1	1	1	2	1.00	0.179	3
Node feasibility	C4	1/3	1/2	1	1	2	0.80	0.144	4
Institutional partner	C5	1/4	1/3	1/2	1/2	1	0.46	0.083	5

Cluster scoring → choice

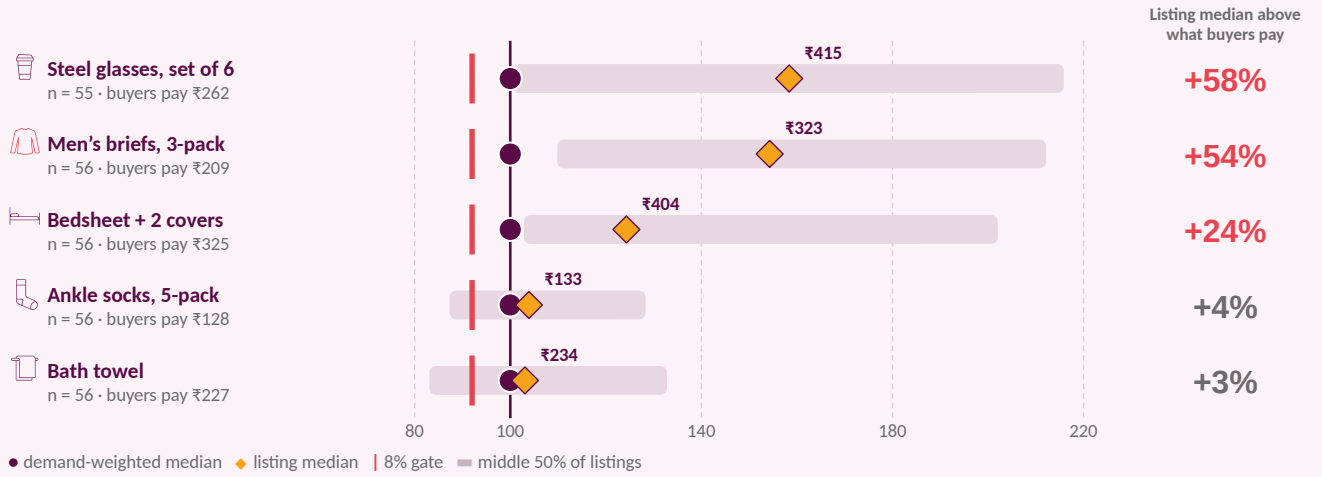
Criteria	Weight	Tiruppur	Panipat	Ludhiana	Rajkot	Surat
Cost ownership	0.338	5	5	4	4	2
Demand on Meesho	0.256	5	4	3	3	5
Returns band	0.179	4	5	4	5	2
Node feasibility	0.144	4	4	4	3	5
Institutional partner	0.083	5	4	4	3	3
Score · rank		4.68 · #1	4.52 · #2	3.74 · #3	3.70 · #4	3.28 · #5

Robust: Surat overtakes Panipat only if the demand weight rises from 0.26 to 0.67; equal weights keep the order.



Pin = rank; coral = pilot

Live teardown: what buyers really pay (279 listings, index 100 = demand-weighted median)



Price gate: assumptions → calculation → result (men's briefs, 3-pack)

Assumptions

Listing median ₹322.5
Demand-weighted median ₹209
Gate: SKU ≥ 8% below median
Badge: ≥ 60% of live SKUs clear
Sellers above ₹5 cr GMV
Seller with > 30% of a set's orders scored without its own orders
SKU needs ≥ 10 delivered orders to count
Re-scored weekly; badge off below a 4% gap

Approach 1: listing median

gate = ₹322.5 × 0.92 = ₹296.7
24 of 56 listings clear (43%)
Too loose: the badge would sit on 4 in 10 listings, including resellers.

Approach 2: demand-weighted median

gate = ₹209 × 0.92 = ₹192.3
6 of 56 listings clear (11%)
Only real cost edges clear: the badge means something.

Result: factory floor ₹180 → 13.8% below ✓ · reseller ₹220 → −5.4% ✕

Prototype verdict (180 sellers > ₹5 cr)	Sellers	Action
C2M-ready	62	Badge + re-rank + Demand Brief
Scale without price	84	No badge; value-tier SKUs
Loss-leader pattern	18	No badge: catalogue gate holds
Near miss	16	Node offer; re-score in 28 days

Decision: pilot in Tiruppur and Panipat; run the price gate on demand-weighted medians in weeks 1-3 at ₹0 capex. Owner: Category + Pricing · KPI: badge lift ≥ 12% vs holdout by Day 30.

Sources: S2, S8, S9, S10 team teardown (meesho.com, 2 Oct 2026; 56 listings per query; reviews as demand weights), S11, S20, S22 (cluster scores) | AHP workings: Appendix C | Verdicts: prototype, synthetic sellers

A prepaid 3-pack costs ₹164 vs a reseller's ₹200.5; of the ₹45 freed, buyers get ₹26.7 and the factory ₹18.3

UNIT ECONOMICS

Unit economics per 3-pack kept, one change per column (Tiruppur men's briefs)

	Reseller today	Factory lists direct	+ Factory Node	+ Prepaid pre-order batch
Scenario	*Existing: buys via a wholesaler, ships, stocks*	*Step 1: no wholesaler mark-up*	*Step 2: bulk drop; node packs, ships, grades*	***Proposed: make confirmed orders + 15%***
Per 100 shipped: failed deliveries	14.0	14.0	14.0	4.6
Delivered	86.0	86.0	86.0	95.5
Returned by buyers (8%)	6.9	6.9	6.9	7.6
Kept (paid for)	**79.1**	**79.1**	**79.1**	**87.8**
Goods, net of resold returns (₹)	105.1	83.2	82.1	81.1
Unsold stock written down	7.1	5.6	5.6	0.9
Logistics: forward + pack / node fee	72.4	72.4	70.9	68.4
Customer-return fees (₹150 each)	13.0	13.0	13.0	13.0
Working capital (18% a year)	2.8	2.2	2.2	0.4
Cost per pack kept	**200.5**	**176.5**	**173.9**	**164.0**
Lowest viable price (9% margin)	**₹220**	**₹194**	**₹191**	**₹180**
Gap vs ₹209 demand-weighted median	**−5.4%**	**7.2%**	**8.5%**	**13.8%**
Clears the 8% gate (≤ ₹192)?	**× no**	**× no**	**✓ yes**	**✓ yes**

Highest making cost that clears the gate: ₹78.7 → ₹80.9 → ₹90.7 (+15%): the levers widen the pool of factories that qualify.

One prepaid batch of 1,000 packs at ₹182, stage by stage

Stage	What happens	₹
1 · Pre-order window	1,000 confirmed; make 1,150 (+15%)	**₹1,82,280 order value**
2 · Handover at node	30% advanced by the NBFC	**+₹54,684**
3 · Delivery	46 failed (4.6%) · 76 returned	**878 kept**
4 · Revenue on kept orders	878 × ₹182.3	**₹1,60,067**
5 · Fees	forward ₹40,089 · node ₹20,000 · returns ₹11,454	**−₹71,543**
6 · Payout, 7 days after delivery	net of fees; repays the advance	**₹88,524**
7 · Balance to the factory	payout − advance	**+₹33,840**

Where the ₹45 per pack goes (pre-order vs a reseller at ₹209)

₹45 = ₹36.5 lower cost (no wholesaler, node, batches) + ₹8.5 reseller margin



- **Buyer:** pays ₹182 instead of ₹209.
- **Factory:** earns ₹18.3 a pack vs ₹7.9 selling ex-factory (2.3×).
- **Meesho:** earns per order, not per rupee: ₹5.8 per C2M order.

Assumptions (all registered in Appendix B)

Factory
Making cost ₹80 a pack
Margin 9% on price
Capital 18% a year

Market
Demand-weighted median ₹209
Gate −8% = ₹192
Pre-order ₹10 off

Logistics
Forward ₹55 self / ₹42 node
Packing ₹10 · node fee ₹20
Wholesaler +15%

Returns
Failed 14% (4.6% prepaid)
Returned 8% of delivered
₹150 return fee · ₹0 RTO fee

Stock
Unsold 10% vs 2%
Salvage 50% · recovery 85%/90%
45 vs 10 inventory days

Decision: price pre-orders at the gate less ₹10 (₹182), funded by the factory's ₹11 batch saving. Owner: Pricing + Category · KPI: factory margin ≥ ₹18 a pack.

Sources: S10 (₹209 demand-weighted median), S11 (₹150 return fee, ₹0 RTO fee), S12, S13 | Assumptions: A10, A11, A20, A22-A32 (making cost ₹80 to confirm in interviews) | Workings: Appendix C

₹75 cr NPV at 12% and payback in Year 3; NPV stays positive down to 45% of planned seller yield

FINANCIAL ANALYSIS

Five-year case (₹ cr, nominal; NPV = sum of the PV row)

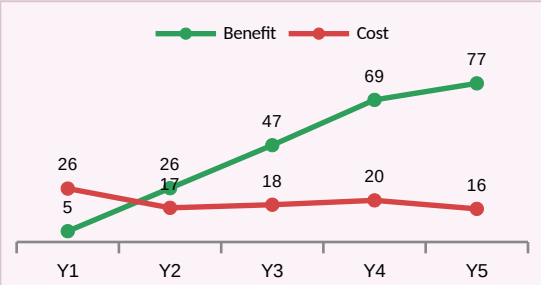
	Year 1	Year 2	Year 3	Year 4	Year 5
Average active sellers	200	700	1,050	1,300	1,450
C2M NMV, year average	140	700	1,260	1,853	2,066
Placed orders (mn)	9	45	81	119	133
Incremental orders × ₹7.3	2.6	13.2	23.8	34.9	39.0
Fewer failed deliveries × ₹60	2.6	12.8	23.0	33.8	37.7
Benefit to Meesho	**5.2**	**26.0**	**46.8**	**68.7**	**76.7**
People	3.6	6.0	7.2	7.8	7.8
Cluster onboarding	5.0	3.0	2.0	2.0	0.0
Demand Brief	6.0	3.0	3.0	3.0	3.0
Factory Nodes	7.8	2.6	2.6	2.6	0.0
Returns pool, grants, first-loss	3.4	1.9	3.2	4.7	5.2
Programme cost	**25.8**	**16.5**	**18.0**	**20.1**	**16.0**
Net cash flow	**−20.6**	**9.5**	**28.7**	**48.6**	**60.7**
Discount factor at 12%	*0.893*	*0.797*	*0.712*	*0.636*	*0.567*
PV at 12%	**−18.4**	**7.6**	**20.4**	**30.9**	**34.4**

NPV at 12%
₹74.9 cr
NPV at 15%
₹66.1 cr
IRR
105%
Payback
Year 3
Discounted payback
Year 3
Year-1 cash (+ people)
₹22.2 cr (+₹3.6 cr)

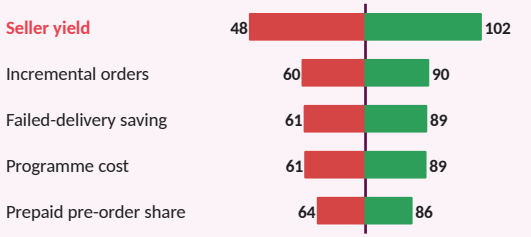
Opportunity: what each phase is worth (exit run-rates)

	Pilot · Day 90	Year 1 exit	Year 4 exit
Clusters · nodes · active sellers	2 · 1 · 60	5 · 6 · 450	12 · 12 · 1,400
Run-rate NMV (× ₹1.425 cr per seller)	**₹85.5 cr**	**₹641 cr**	**₹1,995 cr**
Share of FY26 NMV	0.2%	1.5%	4.8%
C2M orders a day (share of Meesho's)	15,000 (0.2%)	1,13,000 (1.4%)	3,52,000 (4.4%)
Buyer savings a year (8-12% gap)	**₹7.4 cr-₹11.7 cr**	**₹55.8 cr-₹87.4 cr**	**₹173 cr-₹272 cr**
Meesho value a year	₹3.2 cr	₹23.8 cr	₹74.0 cr

Benefit vs programme cost (₹ cr, nominal)



Sensitivity: NPV at −20% / +20%



Base ₹75 cr; left = worse

Break-even and scenarios

NPV = 0 at 45% of planned seller yield (49% of planned benefit). Positive even with zero incremental orders (₹1 cr) or no failed-delivery saving (₹9 cr): each lever alone almost repays the programme.

Bear −₹10 cr
20% incremental · 8-pt gap · 75% yield



Base ₹75 cr
40% incremental · 15-pt gap · plan yield



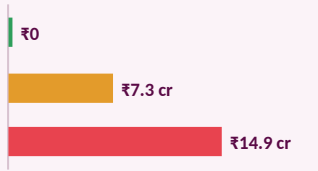
Bull ₹140 cr
55% incremental · 20-pt gap · 110% yield



What changed since Round 1, and how money is released

Round 1: ₹156 cr NPV counted contribution on every C2M order. Round 2 counts only the 40% that are incremental, plus fewer failed deliveries (₹75 cr); if every order were incremental: ₹186 cr. Value per C2M order = 40% × ₹7.3 + ₹2.8 = ₹5.8.

Day 0-30	₹0: badge test on existing order data
Day 31-90	₹7.3 cr: 2 clusters, Brief build, 1 node, pool seed
Q2-Q4	₹14.9 cr: 3 clusters, 5 nodes, Brief run



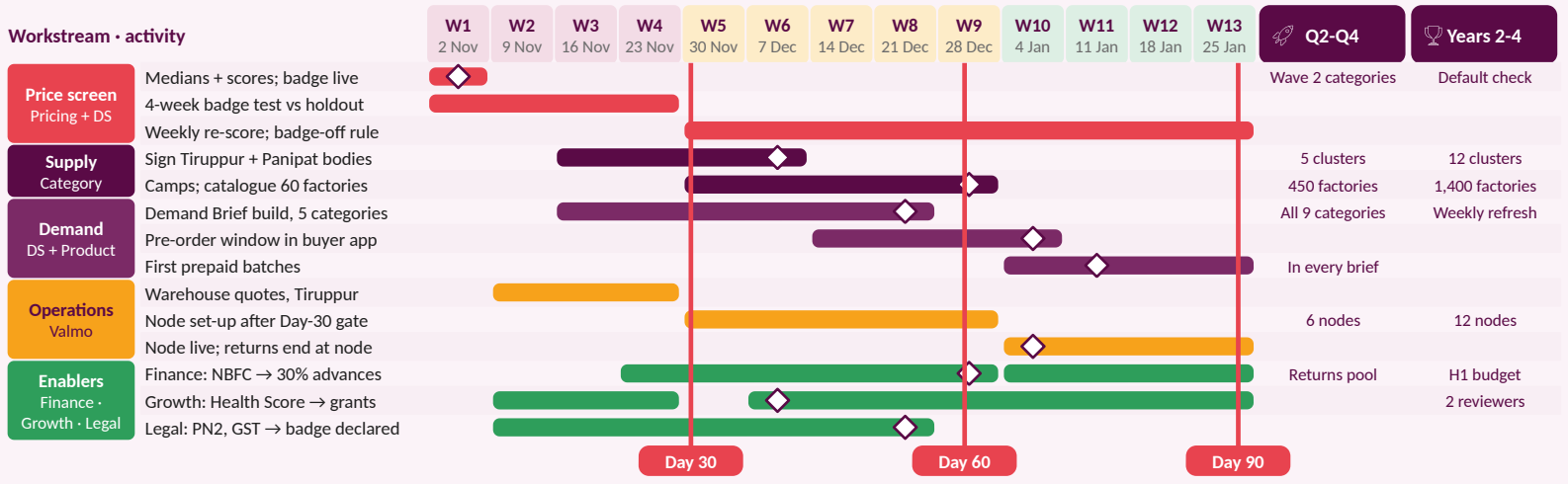
Decision: approve ₹22.2 cr of Year-1 cash as a capped H2 bet, released at the Day-30 and Day-90 gates. Owner: Finance · KPI: Year-1 C2M NMV ≥ ₹140 cr.

Sources: S1 (₹531 cr contribution on 725 mn placed orders; prepaid 37%; NMV ₹11,614 cr on GMV ₹19,054 cr), S3, S11, S13 | NPV: t = 1..5, year-end, no terminal value; year NMV on average active sellers, ladder at exit run-rates | Assumptions: A3, A4, A8, A11-A21

Prove the gap by Day 30, sign partners by Day 60, ship prepaid batches by Day 90, on ₹7.3 cr

90-DAY PLAN

Week-by-week plan for the first 90 days (bars = active weeks · ◆ = milestone · coral lines = gates), then scale



Day 30 gate
Fund if badge lift ≥ 12% (interval > 0) and ≥ 70% still clear at D14; else tighten to a 10% gap, or stop

Day 60 gate
2 associations signed · 60 factories catalogued · briefs live in 5 categories · NBFC signed

Day 90 gate
3 of 4: batches shipped in SLA · returns end at the node · retention ≥ 70% · category NMV ≥ base

Money released
₹0 to Day 30 → ₹7.3 cr for Days 31-90 → ₹14.9 cr in Q2-Q4 (Year 1 cap ₹22.2 cr)

Top risks, sorted by likelihood × impact

Risk	L	I	Guardrail	Owner
The gap was a promotion	H	H	Day-30 stop rule; badge off below 4%	Pricing
Export recovery pulls factories back	H	M	Batches fill idle capacity between export runs	Category
Quality falls with price	M	H	Suspend at > 1.5× return norm; QC hold	Category
Sellers game the badge with a few cheap SKUs	M	M	≥ 60% of live SKUs must clear; dominant-seller rule	Pricing
Node or advances read as inventory control	L	H	Seller keeps title; NBFC lends; 3PL fees at arm's length	Legal
Re-rank starves resellers	L	M	≤ 20% of category impressions; category NMV guardrail	Growth

Metrics & KPIs: onboarding → activation → retention, with guardrails (north star: C2M NMV still clearing the gate)

Stage	KPI	Day 30	Day 60	Day 90	Year-1 exit	Owner · cadence
Scale	Active C2M sellers	Shortlist	60 catalogued	60 live	450	Category · weekly
Onboarding	Qualified → listed within 30 days	—	≥ 50%	≥ 50%	≥ 50%	Category · weekly
Onboarding	Days to first prepaid batch	—	—	≤ 14	≤ 14	Category · weekly
Activation	Orders at D7 / D14 vs cohort median	—	—	≥ 60%	≥ 60%	DS · daily
Activation	Prepaid share of C2M orders	—	—	≥ 37%	≥ 68.5%	Finance · weekly
Retention	Sellers still clearing the 8% gate	≥ 70%	≥ 70%	≥ 70%	≥ 75%	Pricing · weekly
Retention	Factories active at Day 90	—	—	≥ 70%	≥ 75%	Category · monthly
Guardrail	Badge share of category impressions; category NMV	≤ 20%; ≥ base	≤ 20%; ≥ base	≤ 20%; ≥ base	≤ 20%; ≥ base	Growth · weekly
North star	Run-rate C2M NMV clearing the gate	—	—	₹85.5 cr	₹641 cr	Finance · monthly

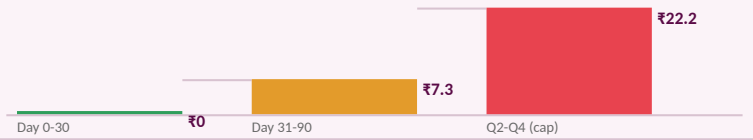
The ask

Budget ₹0 to Day 30; ₹7.3 cr for Days 31-90; ₹22.2 cr cash in Year 1 (+₹3.6 cr people), capped as an H2 bet

Decisions (1) run the badge test with a holdout from Week 1; (2) name owners in Pricing, Category, Valmo, Finance, Legal; (3) sign the associations, a Tiruppur node and an NBFC by Day 60; (4) declare the price-gap badge as a ranking parameter before 1 Jan 2027

Go / no-go badged NMV per live SKU ≥ 12% above holdout, ≥ 70% still clearing at D14

Year-1 cash released, cumulative (₹ cr)



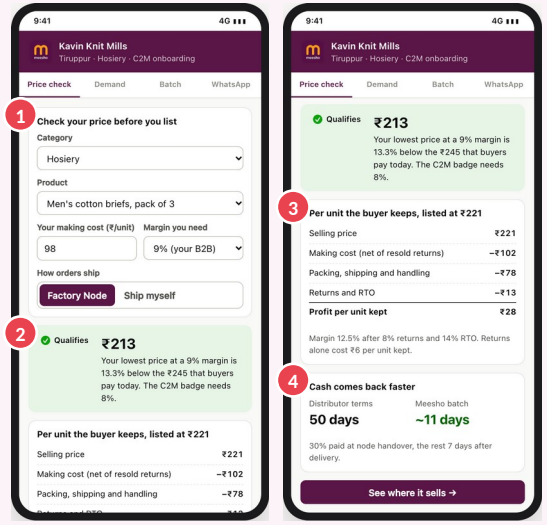
Ask: approve the ₹0 Day-30 test now and ₹7.3 cr for Days 31-90, released only if the Day-30 gate passes; Year 1 is capped at ₹22.2 cr.

Sources: S1 (H2 bets: hard budget cap, graduation on adoption and retention), S19 (Press Note 2; E-Commerce Amendment Rules 2026 in force 1 Jan 2027), S26 | Day 1 = Mon 2 Nov 2026 · Day 30 = 1 Dec · Day 60 = 31 Dec · Day 90 = 30 Jan 2027 | Compliance: Appendix C

Eight phone screens take a factory from “will I make money?” to a prepaid batch, with no e-commerce team

APPENDIX A

1 · Price check: will I make money?

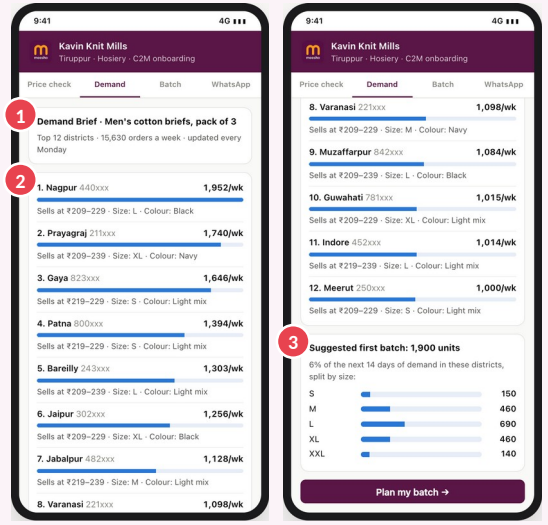


Inputs + verdict | Profit per pack + cash

1. Picks the product, then enters making cost, the margin it needs and how orders ship.
2. Verdict before listing: lowest viable price vs what buyers pay; the badge needs 8% below.
3. Per pack the buyer keeps: making, shipping, returns and failed deliveries, then profit.
4. Cash back in ~11 days (30% at node handover) vs 50 days on distributor terms.

Removes: unknown margin · returns exposure · slow cash

2 · Demand Brief: is there demand?

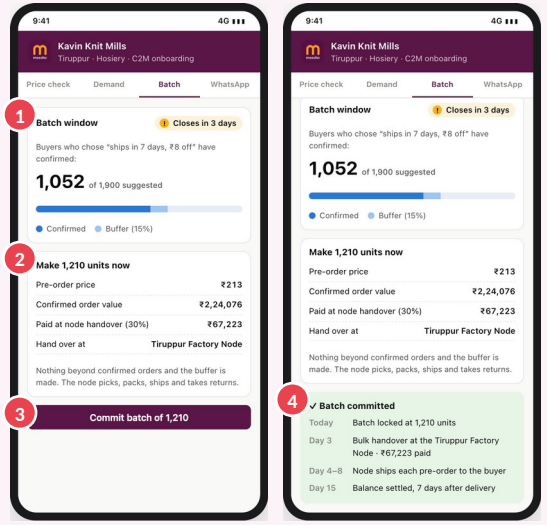


Top districts | Suggested batch

1. This exact product in the top 12 districts: 15,630 orders a week, refreshed every Monday.
2. Each district: orders a week, the price band that sells, the best-selling size and colour.
3. First batch suggested: 1,900 units (6% of 14 days of demand), split by size.
- Built weekly from search and delivered orders, summed by district: no buyer is identifiable.

Removes: unproven demand · guessing sizes and price

3 · Batch: must I stock up blind?

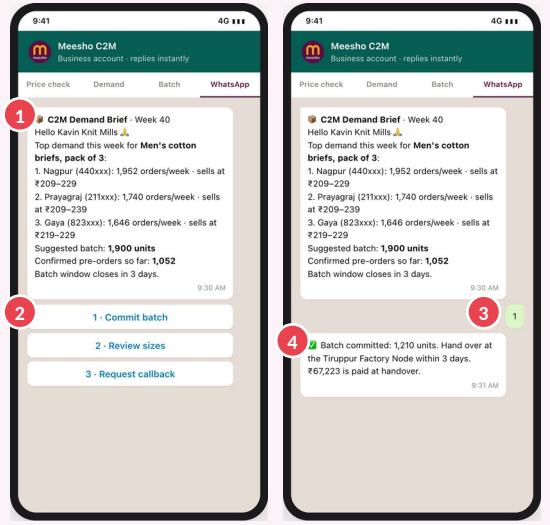


Before commit | After one tap

1. Buyers who accept “ships in 7 days” for a small discount prepay: 1,052 of 1,900 in a 3-day window.
2. Make confirmed orders + 15% buffer = 1,210 units; 30% of confirmed value is paid at handover.
3. One tap commits the batch; nothing beyond it is made.
4. Day 3 bulk handover at the Tiruppur node; Days 4-8 the node ships; Day 15 the balance is paid.

Removes: build-to-stock risk · unit shipping · cash gap

4 · WhatsApp: no app, no manager



Weekly brief | Reply 1: committed

1. The same brief every week on WhatsApp: top districts, price bands, suggested batch, pre-orders.
2. Quick replies: 1 commits the batch, 2 opens the size mix, 3 asks for a callback.
3. The owner replies “1”: no app install, no login, no account manager.
4. Confirmation: units to make, the node to drop them at, and the cash paid at handover.

Removes: tech know-how · dashboards · account managers

One KPI per step: how the pilot proves the app works

Price check → listed	Demand Brief → batch	Batch → first orders	WhatsApp → repeat
≥ 50% list within 30 days	first prepaid batch ≤ 14 days	≥ 60% of cohort orders at D7, D14	active at D90 ≥ 75%

Try it in 60 seconds

1. Scan the QR and open the Manufacturer app tab.
2. Set making cost to ₹105 and pick Ship myself: Not yet, 7.5% below the market (the badge needs 8%).
3. Switch to Factory Node: Qualifies, 10.0% below.

Open it live

meesho-dice-c2m-iitb.vercel.app
Mirror: prathmesh-28.github.io/c2m-control-tower
+ Meesho’s control tower: 3 more tabs
261 synthetic sellers · 4,415 SKUs · 4 model tests

Screens: the live prototype, captured 4 Oct 2026, on seeded synthetic data; Kavin Knit Mills is fictional. Its inputs (₹98 making cost, ₹245 synthetic median) differ from the costed case (₹80 making cost, ₹209 demand-weighted median)

Every figure in the deck traces to a numbered source (S1-S26) or a registered assumption (A1-A32) in one master model

APPENDIX B

Sources (publisher · title · date)

S1 Meesho: Q1 FY27 Shareholders' Letter (quarter to 30 Jun 2026) (Aug 2026)
S2 Meesho: Q4 FY26 earnings call transcript (6 May 2026)
S3 Deccan Herald; Apparel Resources; Inc42: Meesho FY26 results coverage (May 2026)
S4 ICRIER: Annual Survey of MSMEs in India 2025 (n = 2,365, Fig. 16) (Mar 2025)
S5 Ministry of MSME: S.O. 1364(E): revised MSME limits (21 Mar 2025)
S6 RBI: OBICUS, Q2 FY26: capacity utilisation 74.3% (Oct 2025)
S7 Udyam portal (team pull); PIB: Udyam registrations (Jun 2026; 28 Feb 2026)
S8 The Federal; Deccan Herald: Tiruppur output, exports, tariff impact (2025-26)
S9 The Tribune: Panipat textile industry hit by weak demand, high costs (17 Aug 2026)
S10 Team teardown: meesho.com search: 279 live listings, 5 product types (2 Oct 2026)
S11 Shiprocket; Robnu: Meesho seller fee guides (return fee, RTO policy) (2026)
S12 Shiprocket: Fulfilment pricing: ₹24 per order, 500-3,000 orders a month (2026)
S13 GoKwik via Base; TrackVid: COD vs prepaid RTO benchmarks (industry estimates) (2026)
S14 Flipkart newsroom; Business Standard: 0% commission moves (Amazon, Flipkart) (Nov 2025 - 8 Jul 2026)
S15 KrASIA: Pinduoduo New Brand Initiative (end-2019 figures) (2020)
S16 Tech Buzz China: Temu Watch #6: semi-managed share of GMV (27 Dec 2024)
S17 Reuters via FashionNetwork: Shein tried to turn Brazil into a production hub (Feb 2026)
S18 Inc42: MSME-TEAM: ₹277 cr to onboard 5 lakh MSMEs onto ONDC (2024)
S19 Khaitan & Co; LexOrbis: Press Note 2 (2018); E-Commerce Amendment Rules 2026 (2018; Sep 2026)
S20 Finnovate; Zappchai (DRHP-based): Meesho category mix estimates (2025)
S21 Apparel Resources: Tirupur rewires its growth playbook (owner interviews) (25 Jun 2026)
S22 Team 23B0747: Round 1 research: 24 interviews, cluster AHP, sizing funnel, category screen (Sep 2026)
S23 Xinhua: Taobao C2M: 10 bn new orders for factories in 3 years (27 Mar 2020)
S24 Alibaba Group: December Quarter 2021 Results (Taobao Deals) (23 Feb 2022)
S25 AFP via Malay Mail: Shein statement on 100-200 item first batches (24 Mar 2024)
S26 Bank of Baroda: E-commerce business loans for marketplace sellers (2026)

Assumption register (value · source · confidence H/M/L)

ID	Assumption	Value	Source	C
A1	Mature NMV per C2M seller	₹1.425 cr	S22	M
A2	Year-4 capture of SAM	12%	S22	M
A3	Average active sellers, Y1-Y5	200 → 1,450	Team plan	M
A4	NMV per seller, Y1-Y5 (₹ cr)	0.70 → 1.425	Team plan	M
A5	Typical target factory turnover	₹25 cr	S5	L
A6	Meesho NMV in C2M categories	40%	S20	L
A7	Price gap passed to buyers	8%-12%	S22	M
A8	Incremental share of C2M orders	40%	Team	L
A9	C2M GMV per order vs average	10%	A7	M
A10	Prepaid pre-order share	50%	survey	L
A11	Failed-delivery gap, COD vs prepaid	15 pts	S13	L
A12	Meesho cost per failed delivery	₹60	S11, S13	L
A13	Loaded cost per FTE-year	₹0.3 cr	Team	M
A14	Programme FTE, Y1-Y5	12 → 26	Team plan	M
A15	Clusters (year-end); onboarding cost	5 → 12; ₹1 cr each	S22	M
A16	Demand Brief cost, Y1-Y5	₹6 cr, then ₹3 cr	S22	M

ID	Assumption	Value	Source	C
A17	Nodes (year-end); set-up; life	6 → 12; ₹1.3 cr; 5 yrs	Team	L
A18	Returns firewall pool	₹3 cr; then 0.1% of NMV	S22	L
A19	Grant valuation; impressions	₹75 CPM; 50,000 impr.	Team	L
A20	NBFC advance; Meesho first-loss	30%; 1%	S26	L
A21	Discount rate; stress rate	12%; 15%	S22	M
A22	Making cost, briefs 3-pack	₹80	interviews	L
A23	Target margin on price	9%	S22	M
A24	Wholesaler mark-up	15%	Team	L
A25	Hosiery: failed deliveries; returns	RTO 14%; returns 8%	Team	L
A26	Return fee to seller	₹150	S11	M
A27	Failed-delivery fee to seller	₹0	S11	M
A28	Logistics fees, self / node	₹55/42 fwd; ₹10/20	S11, S12	L
A29	Value recovered, self / node	85% / 90%	Team	L
A30	Capital cost; inventory days	18%; 45 vs 10 days	S4	M
A31	Unsold share; salvage value	10% vs 2%; salvage 50%	Team	L
A32	Pre-order discount (7-8 days)	₹10	survey	L

Method and sample

Teardown: meesho.com search, 2 Oct 2026; first 56 listings per query; 279 listings, 5 product types; demand weight = review count; plastics query returned none and was dropped.

Interviews: 24 owners (8 per cohort, Round 1) + 3 published owner interviews.

Buyer survey: [FILL: n, dates, quotas achieved vs target (≥ 150; ≥ 30 per tier); stated intent counted at 50%]

Power: 62 sellers × 28 days, SE ≈ 1.6 pts, MDE ≈ 4.5% at 80% power.

279	24	62 × 28	4.5%
listings	owner interviews	sellers × days	MDE at 80% power

Workings index (formulas)

Sizing: NMV = sellers × ₹1.425 cr; savings = NMV × g ÷ (1 − g)

Unit cost: (make + unsold − resold + logistics + returns + capital) ÷ kept

Benefit: orders × (incremental × ₹7.3 + Δfailed × ₹60)

Δfailed: pre-order share × (1 − 37%) × 15 pts = 4.7 pts

AHP: geometric means, CR = (λ − 5) ÷ 4 ÷ 1.12 (Appendix C)

RICE: reach × impact × confidence ÷ effort



Detailed benchmarking, compliance by design, and the workings behind the cohort, cluster and unit-cost numbers

APPENDIX C

Detailed benchmarking: KPI × company (dated, sourced) and how Meesho uses it

	Pinduoduo NBI	Taobao C2M	Temu semi-managed	Shein	Shein Brazil
Year of data	End-2019	2020; Dec 2021	Q3 2024	Mar 2024	Apr 2023 - Feb 2026
Factories / merchants	900+ in C2M production	1,000 “super factories” targeted	+80,000 planned for 2025	Network (not disclosed)	336 signed of 2,000; 1 producing
Demand data to factories	✓ anonymised	✓ consumer insight	- platform prices	✓ real-time	×
Who holds stock	Factory	Factory	Merchant, local warehouse	Shein	Factory
Batching	Custom runs	C2M runs	—	100-200 item first runs	Large runs, fast
Price lever	Demand scale	Finance + insight	Platform-set	Small batches	~30% price-cut asks
How Meesho uses it	Demand Brief	NBFC prepayment	Seller-owned node	Pre-order batches	Never ask for cuts

Compliance by design

Rule	Requires	Our design
Press Note 2 (2018)	Marketplace may not own or control seller inventory	Seller keeps title at the node; Valmo sells warehousing at arm’s length
Press Note 2 (2018)	Fair, non-discriminatory services; no exclusivity	Badge and grants are published rules any seller can meet
E-Commerce Rules, 2026 amendment (from 1 Jan 2027)	Ranking parameters by importance; sponsored labelled	Publish the price-gap badge as a ranking parameter; grants are organic, never sold
Dark-pattern guidelines (2023)	No false urgency or hidden terms	“Ships in 7-8 days, ₹10 off” shown before payment
DPDP Act (2023)	Protect personal data	Demand Briefs use district aggregates only
GST	Stock at a third-party site	Node registered as the seller’s additional place of business

Cohort scoring behind the personas

Cohort	Price edge 30%	Pool size 25%	Fixable 20%	Speed 15%	New supply 10%	Score
A · Offline B2B	5	5	4	2	5	4.35
C · Churned	4	2	5	5	1	3.55
B · Online elsewhere	3	3	2	4	4	3.05

Rubric (5 =): price edge: sells ex-factory B2B · pool: > 50% of SAM · fixable: all HIGH barriers fixable · speed: KYC + catalogue on Meesho · new supply: new to Meesho. *Equal weights give the same order (4.2 / 3.4 / 3.2).*

AHP workings (CR 0.016)

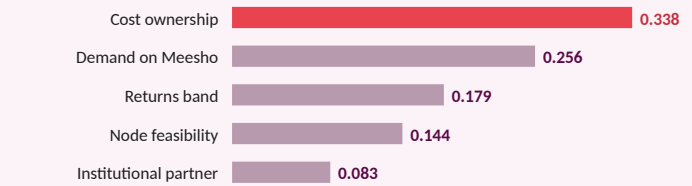
Method: reciprocal 1-9 matrix → geometric mean of each row → weight = mean ÷ sum of means.

Consistency: λmax = 5.072; CI = (λmax − 5) ÷ 4 = 0.018; CR = CI ÷ 1.12 = 0.016 < 0.10.

Check: weights 0.338 / 0.256 / 0.179 / 0.144 / 0.083 reproduce Round 1’s cluster scores (Tiruppur 4.68, Panipat 4.52).

Robustness: Surat overtakes Panipat only above a 0.67 demand weight.

Criterion weights (sum = 1.00)



Unit-economics workings (per 100 shipped)

Kept units = 100 × (1 − RTO) × (1 − returns) = 79.1 (prepaid: 87.8)

Unsold = extra units made × cost × (1 − 50% salvage); 10% build-to-stock vs 2% batch

Logistics = delivered × forward fee + shipped × packing (₹10) or node fee (₹20)

Capital = make cost × 18% × days ÷ 365 (45 vs 10 days)

Floor = cost per kept ÷ (1 − 9%) → proposed ₹164.0 ÷ 0.91 = ₹180.2

Reconciliation checks NPV ₹74.9 cr = Σ PV row ✓ · Year-4 NMV ₹1,853 cr (average 1,300 sellers) vs ₹1,995 cr exit run-rate (1,400) ✓ · batch payout ₹88,524 = revenue − fees ✓ · RICE order = dependency order ✓

Cost per pack kept (₹), each lever added



Sources: S15-S19, S22-S25 | Compliance rows are design responses, not legal advice: Meesho legal confirms each before the pilot